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	Task	Estimated Completion Date	Milestone Amount	% of Total Contract Value
1	Kickoff / Long lead procurement			
2	SRR/SDR			
3	Launch - Kickoff EIS			
4	PDR			
5	Networking and Encryption Interoperability Test Success			
6	OCT Verification Test Success			
7	OCT Interoperability Test Success			
8	CDR			
9	NOVA Test Version Delivered			
10	Ka-Band & S-Band CompatibilityTest Success			
11	AIT Plan			
12	STVT			
13	UTVT			
14	Cybersecurity Continuous Monitoring Plan Final			
15	LEOPs Plan			
16	Launch - Finalize ICDs			
17	IBS Payload Compatibility Test Success			
18	S-Band TACSATCOM Compatibility Test Success			
19	UHF TACSATCOM CompatibilityTest Success			
20	System TRR			
21	Launch - FRR			
22	PSR Complete (All Planes)			
23	Launch - SVs deployed			
24	FATRR complete (First Plane)			
25	FAR Complete (First Plane)			
26	FATRR complete (Second Plane)			
27	FAR complete (Second Plane)			
28	O&S Year 1 mid year			
29	O&S Year 1 end of year			
30	O&S Year 2 mid year			
31	O&S Year 2 end of year			
32	O&S Year 3 mid year			
33	O&S Year 3 end of year (Option)			
34	O&S Year 4 mid year			
35	O&S Year 4 end of year (Option)			
36	O&S Year 5 mid year			
37	O&S Year 5 end of year (Option)			
	SUM of Proposed Milestones			
38	Delivery Incentive		15,000,000	
		Totals	15,000,000	
		Exercised	-	
		Unexercised	\$0	

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Note 1: This is a notional document and the proposed milestones may vary in accordance with the program solicitation.

Note 2: Operations and Sustainment Milestones for years 3, 4, and 5 are not exercised.

Note 3: The dates in the table are best estimates. The Performer is still eligible for payment if a milestone is completed after the estimated date. O&S milestone estimated dates will be updated following launch of Planes 1 & 2, at which point they will represent the end of the respective milestone period of performance.

Note 4: The Government is not obligated to pay any milestone before the estimated date, regardless of when the milestone completion criteria are met. The Performer may initiate the milestone approval process as soon as the exit criteria are satisfied at which point the milestone approval process shall commence. Unless otherwise stated in this Agreement, the milestone will be considered complete when any one of the following conditions is met:

- The Government provides written documentation indicating that The Performer successfully completed the milestone, or
- The Government fails to provide written documentation indicating unsuccessful completion of the milestone within 30 days following the written notification of the milestone completion.

Note 5: Consistent with standard Systems Engineering processes, each Milestone is subject to Lien(s), Major Action Item(s), and Minor Action Item(s) as identified in coordination between the Government and Contractor.

- A Lien is defined as a substantial item coming out of the review that does not show sufficient evidence of a path to delivery of the system in compliance with the contract. A lien prevents payment of a milestone until closed or converted into a Major Action Item.
- A Major Action Item is defined as an item that presents a substantial risk to the system if no action is taken prior to the next review. A Major Action Item prevents payment of a milestone until either the action item is closed, a closure plan is agreed to with the Government, or the Government agrees to track the item as a program risk.
- A Minor Action Item is defined as no threat to the system, administrative in nature, or a recommendation for change. Milestones can be paid with outstanding Minor Action Items.

Note 6: For Milestones FAR Complete First Plane (25) and FAR Complete Second Plane (27), the payment milestone will be decremented commensurately in the event of a single SV or multiple SVs failure that results in SV(s) being fully inoperable upon completion of the milestone. These decrements shall only apply when SV failure is solely attributable to Performer without any fault or negligence of the Government or a third party(s), and no other payment milestones will be affected. Decrements shall be calculated to each milestone based upon the following parameters:

- For each Space Vehicle fully inoperable, the payment will be decremented in accordance with the following table:

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Plane	1 Loss	2 Losses	3 Losses	4 Losses	5 Losses	6 Losses	7 Losses	9 Losses	9 Losses	10 Losses
Plane	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%
Cumulative Plane	10%	20%	30%	40%	50%	60%	70%	80%	90%	100%

Note 7: **On Orbit Performance Pool:** The Maximum Liability is the total amount of proposed agreement value at risk for potential on-orbit performance payback penalty based on the on-orbit performance of the Performer's T3TLU Segment.

Note 8: The Government intends to fully fund each FY as appropriations become available:

GFY	Milestone Payment Totals
GFY 25	
GFY 26	
GFY 27	
GFY 28	
GFY 29	
GFY 30	
GFY 31	
GFY 32	
GFY 33	
GFY 34	

Milestone Exit Criteria are outlined in accordance with the SOW. Each Milestone is subject to liens, major action items, and minor action items as identified in coordination between the Government and Performer:

1 Kickoff / Long Lead Procurement

Payment Criteria: Kickoff meeting conducted. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in Section 2.1 but not limited to that section. Proof of purchase orders for Long Lead Procurement items will be required. Signed Associate Contractor Agreement (ACA) in place with T3PI contractor.

2 SRR/SDR

Payment Criteria: SRR/SDR meeting conducted with no liens. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in Section 2.1 but not limited to that section.

3 Launch 1 – Kickoff EIS

Payment Criteria: Kickoff meeting completed with no liens.

4 PDR

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Payment Criteria: PDR meeting conducted with no liens. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in Section 2.1 but not limited to that section.

5 Networking and Encryption Interoperability Test Success

Payment Criteria: Test executed in accordance with the approved test plan, test procedures, and all applicable requirements in the SOW and the Government has provided written notification of the test completion.

The milestone will be considered complete when either:

- The Government provides written and signed documentation indicating that either:
 - The Contractor successfully completed the full test, or
 - The Contractor has successfully completed the test with exceptions for which the Contractor is clearly and defensibly not at fault, or
- The Government fails to provide written and signed documentation indicating unsuccessful completion of the test within 30 days following the written notification of the test completion.

If the Government provides written and signed documentation indicating that the Contractor did not successfully complete the test, then they shall coordinate a retest with the Government as defined in T2TLB.VCIT.10.1, from the SOW. General Verification, Compatibility, and Interoperability Testing Performer Requirements. The milestone will not be considered completed until the Contractor successfully completes the retest as identified above.

6 OCT Verification Test Success

Payment Criteria: Test was executed in accordance with Government approved test plan, test procedures, and all applicable requirements in the SOW. All success criteria in the test plan have been satisfied. This event is required to be successfully completed prior to CDR, IAW SOW T3TLb.OVT.5.1.

7 OCT Interoperability Test Success

Payment Criteria: Test executed in accordance with the approved test plan, test procedures, and all applicable requirements in the SOW and the Government has provided written notification of the test completion.

The milestone will be considered complete when any one of the following conditions is met:

- The Government provides written and signed documentation indicating that either:
 - The Contractor successfully completed the full test, or
 - The Contractor has successfully completed the test with exceptions for which the Contractor is clearly and defensibly not at fault
- The Government fails to provide written and signed documentation indicating unsuccessful completion of the test within 30 days following the written notification of the test completion.

If the Government provides written and signed documentation indicating that the Contractor did not successfully complete the test, then they shall coordinate a retest with the Government as defined in T2TLB.VCIT.10.1, from the SOW. General Verification, Compatibility, and Interoperability Testing Performer Requirements. The milestone will not be considered completed until the Contractor successfully completes the retest as identified above.

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8 CDR

Payment Criteria: CDR meeting conducted with no liens. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in Section 2.1 but not limited to that section.

9 NOVA Test Version Delivered

Payment Criteria: Functionally complete and operating test versions of NOVA software, with the software additionally provided to the T2TL Beta Program Office. A successful functional test of the NOVA software has been completed, and delivery approved by the Government.

10 Ka-Band & S-Band Compatibility Test Success

Payment Criteria: Test was executed in accordance with Government approved test plan, test procedures, and all applicable requirements in the SOW. All success criteria in the test plan have been satisfied.

11 AIT Plan

Payment Criteria: Plan was submitted in accordance with all applicable requirements in the SOW.

12 S-Band TACSATCOM Payload Verification Test (STVT) Complete

Payment Criteria: Test was executed in accordance with Government approved test plan, test procedures, and all applicable requirements in the SOW. All success criteria in the test plan have been satisfied.

13 UHF TACSATCOM Payload Verification Test (UTVT) Complete

Payment Criteria: Test was executed in accordance with Government approved test plan, test procedures, and all applicable requirements in the SOW. All success criteria in the test plan have been satisfied.

14 Cybersecurity Continuous Monitoring Plan Final

Payment Criteria: Plan was submitted in accordance with all applicable requirements in the SOW.

15 LEOPs Plan

Payment Criteria: Plan was submitted in accordance with all applicable requirements in the SOW.

16 Launch 1 – Finalize ICDs

Payment Criteria: ICD Reviews Complete, ICDs between spacecraft vendor and launch vehicle vendor for launch configuration is finalized, approved by the Government, and released for signature. Path to PSR understood and the system is ready to proceed.

17 IBS Payload Compatibility Test Success

Payment Criteria: Test was executed in accordance with Government approved test plan, test procedures, and all applicable requirements in the SOW. All success criteria in the test plan have been satisfied.

18 S-Band TACSATCOM Compatibility Test Success

Payment Criteria: Test was executed in accordance with Government approved test plan, test procedures, and all applicable requirements in the SOW. All success criteria in the test plan have been satisfied.

19 UHF TACSATCOM Compatibility Test Success

Payment Criteria: Test was executed in accordance with Government approved test plan, test procedures, and all applicable requirements in the SOW. All success criteria in the test plan have been satisfied.

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20 System TRR

Payment Criteria: TRR meeting is conducted. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in SOW Section 2.1 but not limited to that section. All review action items, issues, and liens have been documented in Requests for Action (RFAs) and agreed to by the Decision Authority(ies). The RFAs include, at a minimum:

- Closure plans with the estimated closure date and/or the event that will close the action item.
- Identification of individual(s) responsible for closure.
- Closure of RFAs require verification by the originator.

Review notes, actions, and final products are completed and distributed.

Review Decision Authority(ies) concurs that review entry and exit criteria have been successfully satisfied or any exceptions have been documented with agreed to closure plans.

The path to PSR is understood and the system is ready to proceed.

21 Launch – FRR

Payment Criteria: FRR meeting is conducted. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in SOW Section 2.1 but not limited to that section. All review action items, issues, and liens have been documented in Requests for Action (RFAs) and agreed to by the Decision Authority(ies). The RFAs include, at a minimum:

- Closure plans with the estimated closure date and/or the event that will close the action item.
- Identification of individual(s) responsible for closure.
- Closure of RFAs require verification by the originator.

Review notes, actions, and final products are completed and distributed.

Review Decision Authority(ies) concurs that review entry and exit criteria have been successfully satisfied or any exceptions have been documented with agreed to closure plans.

The path to FAR is understood and the system is ready to proceed.

22 PSR complete (All Planes)

Payment Criteria: PSR (first plane) meeting conducted. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in SOW Section 2.1 but not limited to that section. All review action items, issues, and liens have been documented in Requests for Action (RFAs) and agreed to by the Decision Authority(ies). The RFAs include, at a minimum:

- Closure plans with the estimated closure date and/or the event that will close the action item
- Identification of individual(s) responsible for closure
- Closure of RFAs require verification by the originator.

Review notes, actions, and final products are completed and distributed.

Review Decision Authority(ies) concurs that review entry and exit criteria have been successfully satisfied or any exceptions have been documented with agreed to closure plans.

The path to FATRR is understood and the system is ready to proceed.

23 Launch – SVs deployed

Payment Criteria: The Contractor provides written confirmation of SV launch vehicle separation for all SVs of the second launch, as received from the Launch Service Provider to the Government or provides documentation confirming first contact with all SVs by the Contractor, whichever comes first.

24 FATRR complete (First Plane)

Payment Criteria: FATRR (second plane) meeting conducted. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in SOW Section 2.1 but not

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limited to that section. All review action items, issues, and liens have been documented in Requests for Action (RFAs) and agreed to by the Decision Authority(ies). The RFAs include, at a minimum:

- Closure plans with the estimated closure date and/or the event that will close the action item
- Identification of individual(s) responsible for closure
- Closure of RFAs require verification by the originator.

Review notes, actions, and final products are completed and distributed.

Review Decision Authority(ies) concurs that review entry and exit criteria have been successfully satisfied or any exceptions have been documented with agreed to closure plans.

The path to FAR is understood and the system is ready to proceed.

25 FAR complete (First Plane)

Payment Criteria: FAR (first plane) meeting conducted. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in SOW Section 2.1 but not limited to that section. All review action items, issues, and liens have been documented in Requests for Action (RFAs) and agreed to by the Decision Authority(ies). The RFAs include, at a minimum:

- Closure plans with the estimated closure date and/or the event that will close the action item
- Identification of individual(s) responsible for closure
- Closure of RFAs require verification by the originator.

Review notes, actions, and final products are completed and distributed.

Review Decision Authority(ies) concurs that review entry and exit criteria have been successfully satisfied or any exceptions have been documented with agreed to closure plans.

26 FATRR complete (Second Plane)

Payment Criteria: FATRR (second plane) meeting conducted. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in SOW Section 2.1 but not limited to that section. All review action items, issues, and liens have been documented in Requests for Action (RFAs) and agreed to by the Decision Authority(ies). The RFAs include, at a minimum:

- Closure plans with the estimated closure date and/or the event that will close the action item
- Identification of individual(s) responsible for closure
- Closure of RFAs require verification by the originator.

Review notes, actions, and final products are completed and distributed.

Review Decision Authority(ies) concurs that review entry and exit criteria have been successfully satisfied or any exceptions have been documented with agreed to closure plans.

The path to FAR is understood and the system is ready to proceed.

27 FAR complete (Second Plane)

Payment Criteria: FAR (second plane) meeting conducted. All applicable requirements from the SOW are completed and approved by the Government, inclusive of those contained in SOW Section 2.1 but not limited to that section. All review action items, issues, and liens have been documented in Requests for Action (RFAs) and agreed to by the Decision Authority(ies). The RFAs include, at a minimum:

- Closure plans with the estimated closure date and/or the event that will close the action item
- Identification of individual(s) responsible for closure
- Closure of RFAs require verification by the originator.

Review notes, actions, and final products are completed and distributed.

Review Decision Authority(ies) concurs that review entry and exit criteria have been successfully satisfied or any exceptions have been documented with agreed to closure plans.

28 O&S Year 1 mid-year

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Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

29 O&S Year 1 end of year

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

30 O&S Year 2 mid-year

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

31 O&S Year 2 end of year

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

32 O&S Year 3 mid-year

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

33 O&S Year 3 end of year (Option)

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

34 O&S Year 4 mid-year

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

35 O&S Year 4 end of year (Option)

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

36 O&S Year 5 mid-year

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

37 O&S Year 5 end of year (Option)

Payment Criteria: Provide Operations and Sustainment support planning and execution in accordance with the SOW.

38 Delivery Incentive

Payment Criteria:

Completion of the following:

- Delivery of 20 SVs, integrated to the LV adapter, to the designated launch processing facility by 1 August 2028
- All SVs, and associated ground hardware and software, are fully compliant with the system technical requirements as specified in Attachment 3 – Technical Requirements Document

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- **NOTE: The Government assesses requirements compliance for this incentive based on the contractual TRD and any Government-approved waivers to that TRD.**
- Successful completion of the Functional Acceptance Review (FAR) for all delivered SVs and ground systems

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